FROM THE

EDITOR-IN-CHIEF

Prime Minister Narendra Modi, true to form, has hit the ground running with his new 72-member cabinet. Nine alliance partners, out of the 24 who were part of the National Democratic Alliance (NDA), find a place. Even though the mandate he had hoped for did not happen, Modi showed his political muscle by keeping all the critical portfolios for his party. The message was clear: he would run the government his way, majority or not. The selection of key ministers signalled continuity. There has been a hiatus in policymaking since March 16, when the Model Code of Conduct came into force, so there is a sense of urgency. Before the general election, Modi had chalked out a 125-day agenda, which probably has to be amended considering the lessons to be taken from the reduced mandate. Undoubtedly, in his previous two terms, Modi aggressively addressed the basic needs of a majority of Indians—food, drinking water, sanitation, housing, cooking gas. And, if you take out the Covid years, the economy grew at a reasonable rate. He has other stellar achievements to his credit, such as fiscal prudence, cleaning the banking system, popularising digital payments and huge investments in infrastructure. He transformed India in many ways. But the new regime has to introspect on the key points that denied it a full majority. India faces systemic challenges that require a holistic reset. It must simultaneously tend to wounds that call for immediate suturing and perhaps a change in the style of functioning. Modi 3.0 has to be mindful of a more vigorous Opposition.



June 6, 2022

All eyes will soon be on the full Union Budget in July. Nirmala Sitharaman is at the wheel again as finance minister. She would do well to heed the two most significant issues in the election campaign: jobs and inflation. Related to that is acute rural distress. No wonder the BJP has a nearly 25 per cent drop in rural seats. The problem is systemic. Agriculture represents under 15 per cent of the GDP but employs an estimated 44 per cent of the working population—supporting about 70 per cent of rural households. While manufacturing, where many future jobs should come from, still constitutes only 17 per cent of the GDP and employs a stagnant 12 per cent of the population. For decades, no government has been able to move the needle significantly by shifting agriculture workers, whose productive capacities are clearly under-utilised, to other gainful employment. Unemployment rates have been the subject of much-heated throwing about of data, but no amount of statistical sorcery can hide the despair among young job-seekers. A recent study co-authored by the International Labour Organization can serve as a marker: it talks of 29.1 per cent joblessness among graduates and, more alarmingly, one-third of young Indians being neither in a job nor in education or training!

Professor Arvind Panagariya, recently appointed chairperson of the Finance Commission, defined India's problem very well in one of his lectures. He says the problem is smallness. Our agriculture holdings are too small. Holdings smaller than 2 hectares account for 86 per cent of all holdings. These don't lend themselves to scaling up via mechanisation and are highly unproductive. This is where the farm laws that were derailed would have helped. The new agriculture minister, Shivraj Singh Chouhan, has a proven track record: as chief minister, he gave Madhya Pradesh an agricultural growth rate double that of the national average over the past decade. Maybe he can craft a new policy to win everyone's endorsement. Prof. Panagariya also points out how dispersed our population is. Over 76 per cent live in habitations of less than 5,000. This makes the delivery of basic amenities far more complex. India must urbanise more, but we must fix our crumbling cities with better urban planning and local governance.

Another area of smallness is business enterprises. Around 72 per cent of the workforce in industry and services is employed in enterprises that have less than 10 workers, while only 18 per cent are employed in enterprises with 20 or more workers. The dominance of small enterprises and the relative absence of medium and large enterprises prevents the creation of high-productivity, high-wage jobs on a large scale. China has a 75 per cent manufacturing workforce in medium and large enterprises, as opposed to only 16 per cent in India. There has to be a rescue plan for our 63 million MSMEs so that they can offer productive jobs. A sector-specific push can get things moving on several fronts: for instance, in textiles, a sector that has the capacity to absorb a large workforce, or in pharma and food processing.

The services sector is the best news for the Indian economy. The fastest to rebound after the pandemic, it has been growing at above 8 per cent, with its exports going from $325.3 billion in FY23 to $339.6 billion in FY24. The biggest failure in services is the neglect of inbound foreign tourism. In 2019, the best common pre-pandemic year for comparison, India got under 18 million international arrivals while Thailand (less than one-sixth our size) got nearly 40 million. We earned $30.06 billion from foreign tourists, Thailand $64.37 billion. With all our heritage, beaches, mountains and game reserves, the potential is immense. This should definitely be a thrust area.

But revving up manufacturing will be key. Here, despite the government's best efforts on the ease of doing business front, Foreign Direct Investment (FDI) has been on a downward slope. In 2022-23, FDI inflows fell from the previous year's $84.8 billion to $71.4 billion, down 16 per cent. In 2023-24, it stagnated at $70.9 billion. Uncertainties related to tax liabilities, delays in obtaining tax refunds, difficulties in enforcing contracts and a maze of complex rules—all spook those who may have otherwise been India-bound. The decline in merchandise exports—from $451 billion in FY23 to $437 billion in FY24—frames the crisis.

This week, we put out a full Agenda for Modi 3.0, ticking boxes across ministries: from the hard decisions awaited in areas like labour reforms to the need to hold our own in foreign policy and trade pacts, an alignment of education goals with skilling to create a "future-ready" youth, to a relook at Agniveer. Modi 3.0 also has to continue its reform agenda, especially disinvesting from white elephants in the public sector and continue building infrastructure. That's the kind of 360-degree policymaking we need.

Governing a democracy like India is the most challenging job in the world, reforming it even more so. PM Modi loves challenges. Well, he has got himself a mighty one.

(Aroon Purie)